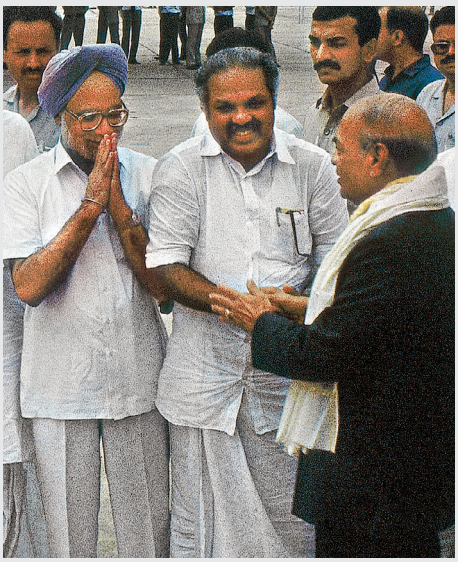


PANJIAR PRASHANT

Economic Liberalisation

India won Independence in 1947, but it took the country another four decades to gain economic freedom. Inspired by the Soviet Union, India had chosen a model of state-led economic development—the government effectively determined the 'who, what, where and how much' of production and pricing. C. Rajagopalachari had memorably characterised the architecture as 'licence-permit raj'. Although evidence showed the model didn't deliver, successive regimes persisted with it. Change was compelled by the balance of payments crisis—India was left with barely a week's worth of foreign exchange. Chandra Shekhar approached the IMF. At 3 pm on January 18, 1991, the agency cleared emergency assistance, but the bailout came with conditionalities. India had to pledge gold from its reserves, seek aid from other nations and promise reforms. P.V. Narasimha Rao was sworn in on June 21. A day later, he addressed the nation and said: "There are no soft options left." On July 24, Manmohan Singh presented the budget, and Rao, as industries minister, dismantled the licence raj. Liberalisation had arrived.

Software Boom

In August 1963, after the war with China, Jawaharlal Nehru set up a committee under Homi J. Bhabha to examine India's competitiveness in technology. The committee discovered that India had an edge in hardware and software. Unfortunately, the country messed up the hardware opportunity and almost missed the software bus too. The software sector was denied the resources—computer connectivity and cash dollars—for three decades. In 1990, N. Vittal, secretary, Department of Electronics, floated the idea of software technology parks. He faced internal resistance and conditionality of $400 million in exports. Thanks to the 1991 crisis, the Rao regime eased policies to enable dollar earnings. The software sector, much like electronics did for Japan and Korea, helped brand India's technological prowess. Today, India's software firms employ over 5 million persons and set a new record with $254 billion in exports.



Gram Sadak Yojana

It started with a question: "Is there a way to connect India with Bharat?" A.B. Vajpayee asked it of Nitin Gadkari, who had come to felicitate the prime minister for winning the 1999 general election. The party, though, had lost in Maharashtra where Gadkari, as PWD minister, was known as *phulkari* or flyover maker. Vajpayee's concern: 300,000 villages and 300 million people lacking connectivity. Replying in the affirmative, Gadkari related the success of a fuel tax-funded road programme connecting Naxalite-affected districts in Maharashtra. Vajpayee asked Gadkari to head the National Rural Road Development Committee. Since its launch on December 25, 2000, over 7.12 lakh km of rural roads and 7,264 bridges have been completed. Its success has even moved the World Bank to commend its role in enabling transformation in governance.



CHANDRADEEP KUMAR